

INNOVATIX PREFERRED PROVIDER NETWORK PHARMACY PARTICIPATION AGREEMENT

THIS INNOVATIX PREFERRED PROVIDER NETWORK PHARMACY PARTICIPATION AGREEMENT (this “Agreement”), dated _____, 202_ (“**Effective Date**”), is entered into by and between Innovatix Network, LLC, a Delaware limited liability company with business offices located at 13520 Ballantyne Corporate Pl., Charlotte, NC 28277 (hereinafter the “**Innovatix Network**”) and _____, a _____ corporation with business offices located at _____ (hereinafter, “**Pharmacy**”).

WHEREAS, the Innovatix Network has formed a preferred provider network of pharmacy providers, and has entered, or intends to enter, into agreements with third party Payors (as defined below) pursuant to which the Innovatix Network has agreed, or intends to agree, to arrange for the delivery of pharmacy services for the benefit of subscribers, and eligible dependents of subscribers of Prescription Drug Plans, Medicare Advantage Prescription Drug Plans, commercial prescription drug plans, state Medicaid drug plans, health maintenance organizations, preferred provider organizations and any other payor entity that facilitates health care coverage; and

WHEREAS, Pharmacy, independently and through its own employees, independently contracting individuals, and medical staff members, is fully licensed and qualified to provide Covered Pharmacy Services (as defined herein); and

WHEREAS, Pharmacy is willing to provide Covered Pharmacy Services in accordance with the terms and conditions of this Agreement, the agreements between the Innovatix Network and the Payors, Accepted Pharmacy Agreements (as defined herein) as such agreements may be established or modified from time to time; and

WHEREAS, pursuant to the terms of this Agreement, the Innovatix Network will assist Pharmacy with certain recognized healthcare functions requiring the Innovatix Network to create, receive, maintain, transmit, use, analyze, or disclose medical records including Protected Health Information from or on behalf of Pharmacy, as necessary for the Innovatix Network to perform some or all of its services under this Agreement.

NOW, THEREFORE, in consideration of the premises and of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby mutually acknowledged, intending to be legally bound the parties hereby agree as follows:

1. DEFINITIONS

For the purpose of this Agreement, the following capitalized terms and phrases shall have the meanings specified below. Other terms and phrases may be defined in other sections of this Agreement and shall have the meanings respectively ascribed to them.

1.1 “Accepted Pharmacy Agreements” means those Pharmacy Agreements that have been accepted by Pharmacy pursuant to Section 4.1. Accepted Pharmacy Agreements shall include all provider manuals, exhibits, addenda, and all rules, policies, and guidelines established by such Plans or Payors from time to time.

1.2 “Affiliate(s)” means, with respect to either party, any entity that, directly or indirectly through one or more entities, controls or is controlled by, or is under common control with, such entity; “controls,” “control” and “controlled” mean the possession, direct or indirect, of the power to direct the

management and policies of an entity, whether through the ownership of fifty percent (50%) or more of the voting interests of such entity or otherwise.

1.3 “Beneficiary(ies)” means any individual who is eligible for benefits under a Plan issued or administered by a Payor.

1.4 “Covered Pharmacy Services” means those pharmacy services, supplies, products and accommodations that a Beneficiary is entitled to receive and for which Pharmacy is entitled to reimbursement under the terms and conditions of this Agreement and the Accepted Pharmacy Agreements between Payors and Plans and Pharmacy as described herein.

1.5 “HIPAA” means, collectively, the Health Insurance Portability and Accountability Act of 1996, Pub. L. No. 104-191 (“the Act”), the privacy standards adopted by the U.S. Department of Health and Human Services (“HHS”) as they may be amended from time to time, 45 C.F.R. parts 160 and 164, subparts A and E (the “Privacy Rule”), the security standards adopted by HHS as they may be amended from time to time, 45 C.F.R. parts 160, 162 and 164, subpart C (the “Security Rule”), and the Privacy provisions (Subtitle D) of the Health Information Technology for Economic Clinical Health Act, Division A, Title XIII of Pub. L. 111-5, and its implementing regulations (the “HITECH Act”).

1.6 “Innovatix Network Core Services” means negotiating Pharmacy Agreements with Plans and Payors on behalf of Pharmacy.

1.7 “Innovatix Network Discretionary Services” means (i) acting as the intermediary between pharmacy benefit managers and Pharmacy to assist Pharmacy with issue of eligibility and credentialing with Plans or Payors; and (ii) assisting Pharmacy with prior authorization and claims adjudication issues pertaining to Medicare Part D.

1.8 “Innovatix Network Services” means Innovatix Network Core Services and Innovatix Network Discretionary Services.

1.9 “Payor” means any entity that provides prescription drug benefits to beneficiaries, including, but not limited to commercial prescription drug plans and those authorized to provide a Prescription Drug Plan or Medicare Advantage Prescription Drug Plan under the Medicare Prescription Drug, Improvement and Modernization Act of 2003, any entity that provides pharmacy benefit management services for prescription drug benefit plans and their sponsors, health maintenance organizations, preferred provider organizations or any other payor entity that facilitates health care coverage with which the Innovatix Network has entered into a Network Services Agreement for the provision of Covered Pharmacy Services.

1.10 “Pharmacy Agreement” means an agreement between pharmacies and any Plan or Payor that which sets forth the terms, conditions, reimbursement rates, copayments, dispensing fees, and/or other fees that pharmacies shall receive in exchange for providing Covered Pharmacy Services.

1.11 “Plan” means any prescription drug plan, medical benefit plan, or government program such as Medicaid or Medicare, offered or administered by a Payor, including, but not limited to, those commercial plans and Prescription Drug Plan or Medicare Advantage Plan issued or administered by a Payor pursuant to the Medicare Prescription Drug, Improvement and Modernization Act of 2003.

1.12 “Protected Health Information” or “PHI” means individually identifiable health information and as defined in HIPAA.

1.13 “Network Services Agreement” means the agreement between the Innovatix Network and a Payor pursuant to which the Innovatix Network agrees to arrange for the provision of Covered Pharmacy Services by Pharmacy for the benefit of Beneficiaries.

2. PROVISION OF SERVICES

2.1 Covered Pharmacy Services. Pharmacy agrees to provide Covered Pharmacy Services to all Beneficiaries who are covered under the terms of all Accepted Pharmacy Agreements in accordance with and subject to the terms and conditions of this Agreement, such Accepted Pharmacy Agreements, and all applicable laws and regulations. The Accepted Pharmacy Agreements shall have a term of at least one (1) year, which shall be renewable in accordance with its terms.

2.2 Innovatix Network Services. Innovatix Network agrees to provide and perform the Innovatix Network Core Services for Pharmacy in exchange for the Participation Fee. Innovatix Network agrees to provide the Innovatix Network Discretionary Services as deemed necessary in the sole discretion of Innovatix Network at no additional expense to Pharmacy.

2.2 Pharmacy Liability. Pharmacy acknowledges and agrees that Pharmacy is solely responsible for the professional decisions, judgments, treatments, and services delivered to Beneficiaries, and that the Innovatix Network is not responsible for the same. Pharmacy further acknowledges and agrees that neither the Innovatix Network nor any of its Affiliates, or its Affiliates’ respective officers, directors, employees, agents or other representatives shall be liable or responsible in any way to any party or person for any act or omission of Pharmacy in connection with the rendering of Covered Pharmacy Services or any other health care services, supplies, products or accommodations to Beneficiaries. Further, neither Innovatix Network nor any of its Affiliates, or its Affiliates’ respective officers, directors, employees, agents or other representatives shall be liable or responsible in any way to any party or person for any asserted breaches of contract in connection with an Accepted Pharmacy Agreement.

2.3 Applicable Pharmacy Standards. Pharmacy agrees to provide Covered Pharmacy Services to Beneficiaries in accordance with any minimum performance and service criteria, and accreditation or authorization requirements established by the Centers for Medicare and Medicaid Services (“CMS”), or any other governmental agency or Plan, as may be adopted from time to time. Further, Pharmacy will provide the Covered Pharmacy Services in accordance with the same standards of care, skill and diligence Pharmacy provides such services to other patients, which standards shall at all times be consistent with the customary and recognized standards of similar facilities and the standards required or established under applicable federal, state and local law.

3. PHARMACY’S COVENANTS

3.1 Non-Exclusivity. Nothing contained in this Agreement shall preclude Pharmacy from negotiating and contracting directly with Payors and/or Plans on its own. Pharmacy agrees to provide Innovatix with thirty (30) days prior written notice of its intent to negotiate or contract directly with a Payor and/or a Plan on its own.

3.2 Network Fees.

(a) Participation Fee. During the Initial Term, Pharmacy agrees to pay a participation fee of \$0.03 per claim processed pursuant to any Accepted Pharmacy Agreement (the “**Participation Fee**”), provided that the total annual Participation Fees paid by Pharmacy to Innovatix Network shall not be less than \$1,650 (“**Minimum Fee**”) or more than \$2,750 (“**Maximum Fee**”).

Following the Initial Term, the Participation Fee, the Minimum Fee and the Maximum Fee shall each increase by five percent (5%) during each renewal term thereafter (the “**Annual Increases**”). Pharmacy will be charged a total annual fee equal to the lesser of the then current Participation Fee or the then current Maximum Fee. On an annual basis, in advance, Innovatix Network will provide Pharmacy with an invoice in an amount equal to the then current Minimum Fee, which shall be due within thirty (30) days of the receipt thereof. On a quarterly basis thereafter, Innovatix Network shall provide an invoice to Pharmacy for the balance of the then current Participation Fee for claims processed in excess of the then current Minimum Fee for such quarter (up to the then current Maximum Fee), which shall be due within thirty (30) days of receipt thereof. In the event that Pharmacy ceases participation in the Innovatix Network prior to the conclusion of the year, Innovatix shall provide an invoice to Pharmacy for the difference between the amount of the Participation Fee paid to date (the then current Minimum Fee plus any quarterly payment) and the then current Maximum Fee, which shall be due immediately upon receipt thereof. The total Minimum Fee is payable for each calendar year that Pharmacy is a participant in the Innovatix Network without any proration or adjustment for any partial year of participation.”

(b) Adjustment to Participation Fee; Additional Fees. Notwithstanding the Annual Increases set forth above, Innovatix Network may implement additional fees, increase or decrease the Participation Fee, the Minimum Fee, and/or the Maximum Fee at any time upon written notice to Pharmacy, provided however that in such event, if Pharmacy does not agree to pay the additional fees, the new Participation Fee, or be subject to the new Minimum Fee and/or Maximum Fee, then Pharmacy may terminate this Agreement by providing Innovatix Network with written notice within thirty (30) days of receiving notice of such adjustment to the fees, and such termination shall be effective upon receipt by Innovatix Network.

3.3 Insurance. Pharmacy, at its cost and expense, agrees to obtain and maintain commercial general liability insurance with limits of not less than \$1,000,000 per occurrence and \$3,000,000 in aggregate and professional druggist liability insurance not less than \$1,000,000 per occurrence and \$3,000,000 in aggregate. The foregoing insurance shall be maintained during the Agreement and for three years (3) thereafter. These policies shall cover any loss, claims or damages caused by the insured Party while performing the activities described in this Agreement. Pharmacy shall name Innovatix Network as an additional insured in Pharmacy’s commercial general liability, professional druggist liability and umbrella liability policies containing the required coverage. Within thirty (30) days after execution of this Agreement, and promptly following Innovatix Networks’ request thereafter, Pharmacy shall provide, or cause its agent to provide, an insurance certificate evidencing the foregoing coverage. Seller shall provide Innovatix Network with at least thirty (30) days prior written notice of any cancellation, non-renewal, termination or modification in the policies that causes a failure to meet the minimum insurance requirements.

3.4 Indemnification. Pharmacy agrees to fully indemnify, defend and hold harmless Innovatix Network, its Affiliates, and each of its respective officers, directors, employees and agents, harmless from and against all liabilities, losses, damages, claims (including third party claims), costs and expenses of any kind, including without limitation costs of defense and reasonable attorney’s fees, which result from (i) any alleged acts or omissions by Pharmacy, or Pharmacy’s agents or employees, in connection with the provision of or failure to provide Covered Pharmacy Services or any other health care services, supplies, products or accommodations; (ii) any alleged negligence or willful acts or omissions by Pharmacy, or Pharmacy’s agents or employees, in connection with any duties and obligations of Pharmacy under this Agreement or any Accepted Pharmacy Agreement; (iii) any alleged acts or omissions by Pharmacy, or Pharmacy’s agents or employees, which violate the Business Associate Addendum; or (iv) any alleged acts or omissions by Pharmacy, or Pharmacy’s agents or employees, which constitute a violation of law including but not limited to HIPAA. Pharmacy’s indemnification obligations shall include third party

claims or allegations resulting from Pharmacy's failure to provide accurate data, information or materials to the Innovatix Network in the course of its performance of services under the Agreement. The rights and obligations of the parties regarding this indemnification shall survive termination or expiration of this Agreement, regardless of the cause giving rise to such termination or expiration, with respect to any alleged liability, loss, damage, claim, cost or expense resulting from acts or omissions which occurred prior to such termination or expiration.

4. NETWORK SERVICES AGREEMENTS; PHARMACY AGREEMENTS

4.1 Authorization.

(a) Pharmacy hereby grants the Innovatix Network authority to sign on behalf of Pharmacy, bind Pharmacy to, amend from time to time, and terminate Accepted Pharmacy Agreements with Payors or Plans, in accordance with subsection (b) below. Except as provided in subsection (b) below, Pharmacy hereby warrants and represents that Pharmacy will abide and be bound by all of the applicable terms and conditions of each and every Accepted Pharmacy Agreement the Payors or Plans may require. Additionally, Pharmacy agrees that in the event the terms of any particular Accepted Pharmacy Agreement conflict with or are inconsistent with any of the terms of this Agreement, the terms of that particular Accepted Pharmacy Agreement will govern and shall be binding upon Pharmacy with respect to the applicable Payor or Plan. Neither the Innovatix Network nor any of its Affiliates, or its Affiliates' respective officers, directors, employees, agents or other representatives shall be parties to the Accepted Pharmacy Agreements or, by signing on behalf of Pharmacy, assume any obligations under the Accepted Pharmacy Agreements.

(b) The Innovatix Network will provide Pharmacy with written notice in the manner set forth below, each time the Innovatix Network enters into a new, amended or extended Network Service Agreement or receives an amendment to any already Accepted Pharmacy Agreement from a Payor or Plan, which notice shall include a copy of the pharmacy agreement, or amendments to an Accepted Pharmacy Agreement as applicable, that are being offered by Innovatix Network with respect to such Payor or Plan. Pharmacy agrees that Innovatix Network shall sign such pharmacy agreements or Amendments to Accepted Pharmacy Agreements on Pharmacy's behalf and Pharmacy shall be bound by the terms and conditions of each Accepted Pharmacy Agreement and any amendments thereto, unless Pharmacy provides the Innovatix Network with written notice within seven (7) days after receipt of a pharmacy agreement or amendment to an Accepted Pharmacy Agreement stating that Pharmacy rejects such pharmacy agreement or amendment to an Accepted Pharmacy Agreement. All pharmacy agreements or amendments to an Accepted Pharmacy Agreement not rejected within the seven (7) day period shall be deemed Accepted Pharmacy Agreements. The parties agree that the foregoing shall not apply with respect to any Payor, pharmacy agreement, or Plan that requires Pharmacy to affirmatively indicate its desire to provide Covered Pharmacy Services pursuant to such Plan.

(c) As between the parties, Pharmacy has been and will continue to be the sole and exclusive owner of all proprietary data, including Protected Health Information, which is disclosed by or on behalf of Pharmacy to the Innovatix Network (collectively, "**Pharmacy Information**"). Pharmacy represents and warrants that it has all permissions, rights and/or any other authorizations necessary to disclose such Pharmacy Information to Innovatix Network for purposes set forth herein. Pharmacy hereby grants the Innovatix Network and its Affiliates a nonexclusive, royalty-free worldwide and non-sub-licensable right and license to use, compile, decompile, reproduce, modify, supplement, adapt, translate, create derivative works from, distribute, disclose and take

such further action with respect to Pharmacy Information : (1) to provide any and all products and services provided, or that may in the future be provided, by Innovatix Network or any of its Affiliates to Pharmacy under this Agreement; (2) to perform Innovatix Network's obligations under this Agreement; (3) to de-identify Pharmacy Information that is Protected Health Information in accordance with the Business Associate Addendum ("**De-Identified Information**"); provided, however, to the extent any Pharmacy Information constitutes Protected Health Information, the license and right granted pursuant to this Section with respect to such Protected Health Information will be conducted in accordance with the terms of the Business Associate Addendum and subject to any limitations set forth therein and exercised by Innovatix Network in accordance with all applicable laws. Furthermore, Pharmacy hereby grants Innovatix Network and its Affiliates a nonexclusive, royalty-free, worldwide, and non-sub-licensable right and license to compile, decompile, reproduce, modify, supplement, adapt, translate, create derivative works from, distribute, disclose and take such further action with respect to De-Identified Information for any purpose, including a commercial purpose. Pharmacy represents and warrants that it has the right to disclose the Pharmacy Information and grant the license provided in this Section 4.1(c) t.

4.2 Notice. Pharmacy agrees that Innovatix Network may provide any notice required by this Section 4 by mail, facsimile, or email, to the addresses, facsimile number, or email address set forth on the Pharmacy Contact Information Sheet attached hereto as Appendix A. Appendix A shall contain the address of the Pharmacy as listed with NCPDP to which Pharmacy receives payment.

4.3 Restrictions on Participation. Pharmacy acknowledges and agrees that, upon the specific request of a Payor, or as determined by the Innovatix Network on the basis of Pharmacy's failure to satisfy certain quality or efficiency standards or on such other basis that is generally applied to all facilities participating, the Innovatix Network may omit Pharmacy from the list of pharmacies eligible to participate under certain Network Services Agreements or certain Payors or Plans.

5. PAYMENT FOR PHARMACY SERVICES

5.1 Compensation. Pharmacy shall be compensated in accordance with the reimbursement rates and terms applicable to each Plan or Payor, as set forth in the applicable Accepted Pharmacy Agreement. Pharmacy shall be compensated directly by Payor to the address listed with NCPDP and listed on Appendix A, and agrees that it shall not seek or be entitled to any payment from the Innovatix Network.

5.2 No Warranty; No Guaranty. Pharmacy acknowledges and agrees that the Innovatix Network does not in any way promise, warrant or guarantee, either by this Agreement or otherwise, the number or type of referrals to be made to Pharmacy under this Agreement, or the eligibility for any referrals by Payors or Plans for Covered Pharmacy Services. Pharmacy acknowledges and agrees that (i) the Payors or their designated representatives shall be responsible for determining the extent of coverage under a Accepted Pharmacy Agreement; (ii) Innovatix Network shall not be liable or responsible for any decisions to make or deny payment of claims submitted by Pharmacy or any of Pharmacy's agents or employees for Covered Pharmacy Services or non-covered Pharmacy Services; (iii) the Innovatix Network is neither an insurer, underwriter nor guarantor of the payment or performance by the Payors or any Beneficiary under any circumstance; and (iv) the Innovatix Network shall not, under any circumstance, be responsible to make any payments due Pharmacy for the provision of Covered Pharmacy Services, or otherwise for the dispensing or sale of pharmaceuticals or other medical items.

6. ADDITIONAL COVENANTS

6.1 Records; Access. Pharmacy will maintain all medical, financial and administrative records concerning services provided to Beneficiaries that Pharmacy maintains in the normal course of business in

accordance with all applicable laws, regulations and standards of practice. Pharmacy acknowledges and agrees that the Innovatix Network, CMS, the Payors, and Plans and their authorized representatives, will have the right to inspect, review, and make or request copies of such records and/or Pharmacy Information (at no charge) upon reasonable notice and during regular business hours, or upon such other notice or during such other hours as required by applicable law. Pharmacy further acknowledges and agrees that the Innovatix Network will have the right to create, receive, maintain, transmit, use, analyze, or disclose Pharmacy Information as necessary for the Innovatix Network to perform some or all of its services under this Agreement. Pharmacy shall, at no additional cost to the Innovatix Network, provide reasonable information and access to its books and records, to enable the Innovatix Network and its agents to audit Pharmacy operations as they relate to the Services provided by Innovatix Network to confirm compliance with this Agreement. The access to records and the audit rights granted hereunder shall survive the termination or expiration of this Agreement, and any Plan regardless of the cause giving rise to such termination or expiration.

6.2 Compliance. In the performance of and in connection with all services hereunder, the Innovatix Network shall comply with all applicable laws and regulations, whether federal, state or local. Further, the Innovatix Network, Pharmacy and Payors are obligated to meet the requirements of HIPAA, due to their status as a “Covered Entity” or a “Business Associate” under the Act. Where applicable, the Innovatix Network agrees to comply with HIPAA, pursuant to the manner set forth in the Business Associate Addendum described in Appendix C attached hereto, as well as such additional commitments related to HIPAA and the Innovatix Network’s performance of services as may be communicated by Pharmacy.

6.3 Records; Confidentiality. Pharmacy and the Innovatix Network will treat all of each Beneficiary’s medical records, including all PHI, as confidential and will comply with all state and federal laws and regulations regarding confidentiality and preservation of medical records. Each party’s rights and obligations with respect to PHI shall be governed by the terms of the Business Associate Addendum, attached hereto as Appendix C. In connection with the Innovatix Network Services, Pharmacy agrees to only provide, use, or disclose, and Innovatix Network shall only request, use, or disclose, the Minimum Necessary (as defined in HIPAA) amount of PHI necessary to achieve the purpose for which the PHI is provided. Pharmacy agrees to implement all commercially reasonable administrative, physical, technical, and organizational safeguards to protect the confidentiality and integrity of PHI. All PHI shall be securely transmitted, processed, or exchanged pursuant to the safeguards required by HIPAA, including but not limited to encryption when PHI is transmitted electronically.

6.4 Licensure. Pharmacy warrants and represents that Pharmacy (i) maintains in good standing all licenses, registrations and certifications required by federal, state and local laws to own and operate its facilities in the state in which it operates, and (ii) has, to its knowledge, complied with and shall continue to comply with during the term hereof, all other applicable federal, state and local statutes, ordinances, rules and regulations. Pharmacy shall provide Innovatix with written notice within ten (10) days in the event that any of the foregoing items (i) through (ii) ceases to be true and correct.

6.5 Part D Programs to Control Fraud Waste and Abuse. Pharmacy shall maintain a compliance program and policies to control fraud, waste, and abuse as may be required by CMS, Innovatix, Network, Payors, or Plans, and shall execute Appendix B attached hereto with respect to its plan. Pharmacy agrees that all of the requirements set forth in this Agreement, Appendix B, and any Accepted Pharmacy Agreement shall be applicable to and enforceable against any provider or “downstream” entity to which Pharmacy delegates or subcontracts any of its obligations.

6.6 HIPAA.

(a) **HIPAA Compliance.** In connection with its engagement of Innovatix Network to provide the Innovatix Network Services, Pharmacy may disclose, or cause to be disclosed, to Innovatix Network certain Protected Health Information. The parties agree that they will comply with all applicable provisions of HIPAA relating to the use and disclosure of Protected Health Information, as further set forth in the Business Associate Addendum. The parties further agree that they will cooperate in good faith to take any such future steps as are necessary to confirm or establish compliance, including the execution or modification of business associate agreements to comply with HIPAA. In the event of a conflict between this Agreement and the Business Associate Addendum relating to Protected Health Information, the terms of the Business Associate Addendum shall control.

(b) **Regulatory Disclosures.** Each party agrees to make available upon written request of the Secretary of Health and Human Services or the Comptroller General of the United States or any of their duly authorized representatives, the contracts, books, documents and records that are reasonably necessary to certify the nature and extent of the costs associated with this Agreement for a period of six (6) years from the completion of all services provided under this Agreement.

6.7 **Federal Programs Compliance.** The Pharmacy or any of its subcontractors or any “downstream” entity shall be compliant with the regulatory requirements set forth in Section 6032 of the Deficit Reduction Act of 2005 (DRA), 42 C.F.R. §422.503(b)(4)(vi), 42 C.F. R. §423.504(b)(4)(vi) and Chapter 9, §50.3.2 of the Medicare Part D Prescription Drug Benefit Manual with regard to a comprehensive fraud and abuse plan to detect, correct and prevent fraud, waste and abuse as an element of their compliance plan. Pharmacy understands and agrees to maintain federal programs compliance supporting documentation for a period of ten years and will furnish evidence of the above upon request. Pharmacy agrees that all of the requirements set forth in this Agreement, Appendix B, and any Accepted Pharmacy Agreement shall be applicable to and enforceable against any provider or “downstream” entity to which Pharmacy delegates or subcontracts any of its obligations.

6.8 **Monthly Screening Requirements and Exclusion from Participation in Government Healthcare Programs.**

For the purpose of the Exclusion and Screening Requirements, the following definitions shall apply:

“Exclusion Lists” means the U.S. Department of Health and Human Services’ Office of Inspector General’s List of Excluded Individuals/Entities (located at <http://www.oig.hhs.gov>) and the General Services Administration’s List of Parties Excluded from Federal Programs (located at <http://epls.gov>).

“Ineligible Persons” means any individual or entity who: (a) is, as of the date such Exclusion Lists are accessed by the Pharmacy, excluded, debarred, suspended or otherwise ineligible to participate in Federal health care programs or in Federal procurement or non-procurement programs; or (b) has been convicted of a criminal offense that falls within the ambit of 42 §41320(a)-7(a), but has not yet been excluded, debarred, suspended or otherwise declared ineligible.

The Pharmacy shall immediately notify Innovatix Network, and any Plans and Payors immediately should any pharmacist employed by the Pharmacy be sanctioned by the Federal Office of Inspector General (OIG), the Department of Health and Human Services (HHS) or CMS. No pharmacists who have been excluded from participation in any government health care programs (Medicare, Medicaid, Children’s Health Insurance Program (“CHIP”) or other state or federal government health care programs) shall be

permitted to participate in Covered Pharmacy Services unless they can document that Federal OIG, HHS or CMS has fully reinstated them as a participating provider. The Pharmacy shall immediately notify Innovatix Network if it has been excluded from participation in any government health care programs pursuant to Sections 1128 or 1156 of the Social Security Act. Failure to notify Innovatix Network shall constitute a material breach of the Agreement. Failure to provide Innovatix Network with this information may also be cause for termination of the Pharmacy from participation in Covered Pharmacy Services.

The Pharmacy shall screen their employees, owners, officers, managing agents and contractors (“Covered Individuals”) initially and on an ongoing monthly basis to determine whether any of them has been excluded from participation in Medicare, Medicaid, CHIP or any federal health care programs (as defined in Section 1128B(f) of the Social Security Act) and not employ or contract with an individual or entity that has been excluded. The Pharmacy shall be required to immediately report to Innovatix Network any exclusion information discovered. The Pharmacy shall be informed that civil monetary penalties may be imposed against providers who employ or enter into contracts with excluded individuals or entities.

6.9 Reporting Fraud. The Pharmacy shall report to Innovatix Network, Payors, Plans and CMS, in a form deemed satisfactory by the agency to whom the report is to be made, all confirmed or suspected fraud and abuse. The Pharmacy shall report any suspicion or knowledge of fraud and/or abuse, including but not limited to, the false or fraudulent filings of claims and/or the acceptance or failure to return monies allowed or paid on claims known to be false, incorrect, inaccurate or fraudulent. Once reported, the Pharmacy shall not attempt to investigate or resolve the reported suspicion, knowledge or action without informing Innovatix Network and the agency to whom the report was made and must cooperate fully in any investigation by appropriate federal and state authorities or subsequent legal action that may result from such an investigation.

7. TERM AND TERMINATION

7.1 Term and Renewal. This Agreement will be effective upon the Effective Date, and its initial term (“**Initial Term**”) shall continue in effect for a period of one (1) year. Thereafter, this Agreement shall be automatically renewed for successive one-year terms (each a “**Renewal Term**” and, together with the Initial Term, the “**Term**”) unless either party gives written notice to the other of its intention not to renew this Agreement at least ninety (90) days prior to end of the then current term.

7.2 Termination Upon Breach. This Agreement may be terminated by either party by giving thirty (30) days advance written notice to the other party of the other party’s material breach of any term or condition of this Agreement. Any such termination shall be effective on the date stated in the notice of termination unless the breaching party has cured the breach prior to the expiration of the thirty (30) day period following the receipt of such written notice. Acts or omissions constituting a breach by Pharmacy shall include, but not be limited to, failure to participate in or comply with the Innovatix Network’s or any Payor’s policies or procedures.

8. GENERAL PROVISIONS

8.1 Confidentiality. In addition to the obligations set forth in Section 6.3, each party may, in the course of the relationship established by this Agreement, disclose to the other party in confidence non-public information concerning utilization management procedures, credentialing criteria, patient treatment and/or finances, and such party's earnings, volume of business, methods, systems, practices, plans, rates, fees, pricing and other proprietary information (collectively, “**Confidential Information**”). Each party acknowledges that the disclosing party shall at all times be and remain the owner of all Confidential Information disclosed by such party, and that the party to which Confidential Information is disclosed shall

preserve the confidentiality of any such Confidential Information which such party knows or reasonably should know that the other party deems to be Confidential Information. Neither party shall use for its own benefit or disclose to third parties any Confidential Information of the other party without such other party's advance written consent. Neither party shall disclose to any third party any of the terms and conditions of this Agreement, except as required to perform under this Agreement or any Accepted Pharmacy Agreement. Notwithstanding the foregoing, Pharmacy agrees that the Innovatix Network shall be permitted to disclose information regarding Pharmacy that is aggregated. Additionally, Pharmacy agrees that Innovatix shall be permitted to disclose Pharmacy's name, address, DEA number, NCPDP number, NPI number, insurance information, licensing information, and any other necessary information to Payors or Plans.

8.2 Limited Warranty. Innovatix Network warrants to Pharmacy that during the Term of this Agreement, the Innovatix Network Core Services will conform in all material respects with the terms of this Agreement. OTHER THAN THE WARRANTIES MADE IN THIS SECTION 8.2, INNOVATIX NETWORK MAKES NO REPRESENTATION OR WARRANTY OF ANY KIND, EXPRESS OR IMPLIED, INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE OR NON-INFRINGEMENT, AND ANY AND ALL SUCH REPRESENTATIONS AND WARRANTIES ARE HEREBY DISCLAIMED BY INNOVATIX NETWORK AND WAIVED BY PHARMACY.

8.3 Sole Remedy. If Innovatix Network breaches the warranty contained in Section 8.2 and that breach is verified by Innovatix Network, Pharmacy's sole and exclusive remedy shall be for Innovatix Network to re-perform the Innovatix Network Core Services as promptly as reasonably possible, or at Innovatix Network's sole election, to refund Pharmacy the fees paid by Pharmacy for the non-conforming Innovatix Network Core Services. Innovatix Network shall not be obligated to remedy any breach of warranty if the breach resulted from or was otherwise caused, in whole or in part, by Pharmacy's failure to comply with this Agreement.

8.4 Limitation of Liability. Pharmacy agrees that in no event shall Innovatix Network or any of its Affiliates, or its or its Affiliates' respective officers, directors, employees, agents or other representatives be responsible or liable, in the aggregate, to pay any amount, or for any damages in excess of the then current Maximum Fee in effect for the twelve month period preceding the initial event which gave rise to the liability nor shall it be liable for any indirect, special, punitive, incidental, consequential or similar damages or for lost profits, including loss of revenue; business profits; interest or anticipated savings; loss of goodwill or reputation; and/or loss of or damage to business records or data of Pharmacy or any third party, even if Pharmacy has been advised of the possibility of such losses or damages, and regardless of the basis on which the claim may be made. This section shall survive any termination or expiration of this Agreement for any reason.

8.5 Entire Agreement. This Agreement (including the appendices referred to herein) constitutes the entire agreement and understanding between the parties hereto with respect to the subject matter hereof and supersedes all prior oral or written agreements, representations or understandings between the parties relating to the subject matter hereof. All such appendices as may be amended from time to time, are incorporated herein by reference and made a part hereof. No statement, representation, warranty, covenant or agreement of any kind not expressly set forth in this Agreement, including those made after the Effective Date, shall affect, or be used to interpret, change or restrict, the express terms and provisions of this Agreement or the obligations of Innovatix Network.

8.6 Amendment. Except as otherwise provided herein, this Agreement may be amended at any time by mutual written agreement executed by the parties, or automatically by Innovatix Network, upon written notice, to the extent necessary to comply with any new or amended federal, state, or local statutes or regulatory requirements, accreditation standards or licensing guidelines or rules that may become

applicable during the Term. Any amendment made in accordance with the preceding sentence shall be effective as of the effective date of the change that made the amendment necessary.

In addition, Innovatix may amend or modify this Agreement at any time by giving Pharmacy thirty (30) days advance written notice (“**Notice Period**”) of the proposed amendment (“**Proposed Amendment**”). The Proposed Amendment shall be deemed accepted by Pharmacy and this Agreement shall be deemed amended as provided in the Proposed Amendment unless Pharmacy provides Innovatix Network with written notice objecting to the Proposed Amendment prior to the expiration of the Notice Period. In the event Pharmacy objects to the terms of any Proposed Amendment, Innovatix Network shall have the right to immediately terminate this Agreement.

8.7 Waiver. Neither the failure of nor any delay on the part of either party hereto in exercising any right, power or privilege hereunder shall preclude other or further exercise of such right, power or privilege; nor shall a waiver of any right, power, privilege or default hereunder constitute a waiver of any other right, power, privilege or default of the same or of any other term or provision. No waiver shall be effective unless in writing and signed by the party purported to have granted the waiver.

8.8 Assignment. This Agreement, being intended to secure the services of the parties hereto, shall not in any manner be assigned, delegated, or transferred by either party without the prior written consent of the other party; provided, however, the Innovatix Network shall have the right to assign this Agreement to any affiliate, successor or other entity which is under common control by or with the Innovatix Network.

8.9 Severability. If any portions of this Agreement shall, for any reason be deemed by a court of competent jurisdiction to be unenforceable, the provisions of this Agreement shall be ineffective only to the extent of any such invalidity or unenforceability, and the remaining portion or portions shall nevertheless be valid, enforceable and of full force and effect; provided however, that if the invalid or unenforceable provision is material to the overall purpose and operation of this Agreement then this Agreement shall terminate upon the severance of the invalid or unenforceable provision.

8.10 Binding on Successors. This Agreement shall be binding and shall inure to the benefit of the Parties and their heirs, administrators, successors and assigns.

8.11 Multiple Counterparts. This Agreement may be executed in multiple counterparts, each of which shall be deemed to be an original and all of which taken together shall constitute a single instrument.

8.12 Notice. Except as provided in Section 4, any notice required to be given pursuant to the terms and provisions of this Agreement shall be in writing and shall be sent by certified or registered mail, return receipt requested, postage prepaid, by overnight delivery, or by hand delivery to the parties at the addresses set forth as follows:

If to Innovatix
Network: Innovatix
Network, LLC
13520 Ballantyne Corporate Place
Charlotte, NC 28277
Attn: Legal Department

With copy to (which shall not constitute notice):

Network: Innovatix
Network, LLC
13520 Ballantyne Corporate Place
Charlotte, NC 28277
Attn: Legal Department

If to Pharmacy:

To the address set forth on Appendix A

8.13 Governing Law. This Agreement shall be construed in accordance with the laws of the State of New York, without regard or reference to choice of law principles. The Parties agree that any action or suit arising out of or relating to this Agreement shall be filed in federal or state court in New York. The Parties further agree to have their dispute heard by a judge and give up their right to a jury trial.

8.14 Relationship Between Parties. None of the provisions of this Agreement are intended to create, nor shall they be deemed or construed by the parties hereto as creating, any relationship between the parties other than that of independent entities contracting with each other solely for the purpose of effecting the provisions of this Agreement. This Agreement does not constitute a partnership agreement nor does it create a joint venture or agency relationship between or among the parties, other than as agent for the limited purpose of entering into agreements contemplated by Section 4.1 above. No party shall take any action, nor make any representation to any third party that would be inconsistent with the foregoing sentence. Neither party shall be liable for the representations, acts, or omissions of the other party unless expressly provided otherwise under the terms of this Agreement.

Innovatix Network, LLC

Pharmacy

Print Pharmacy Name

NCPDP # and/or NPI#

By: _____
Name:
Title:

By: _____
Name:
Title:

Appendix A

Pharmacy Contact Information Sheet

Pharmacy Name (DBA name):

Contact Person:

Title:

Mailing Address:

City, State, Zip:

Phone Number:

Fax Number:

Email:

NCPDP#

NPI#

Appendix B

FEDERAL PROGRAMS COMPLIANCE ATTESTATION

The undersigned pharmacy hereby certifies, represents and warrants to the following regarding its compliance program:

1. OIG and GSA Exclusion Screening

Pharmacy complies with the regulatory requirement to review the Department of Health and Human Services (DHHS) Office of Inspector General (OIG) List of Excluded Individuals and Entities (LEIE) and the General Service Administration (GSA) System for Award Management (SAM) at the time of hiring or contracting with employees, temporary employees, volunteers, consultants, contractors and governing body members to ensure no individual or entity performing the activities described in this Pharmacy Participation Agreement is excluded from participating in federal programs. My organization also complies with the requirement to review the federal exclusion lists on a monthly basis. If an individual or entity appears on the exclusion list they will be immediately removed from work related directly or indirectly to the activities described in this Pharmacy Participation Agreement. Pharmacy will provide evidence that employees were timely checked against the federal program exclusion lists upon request.

2. General Compliance and Fraud, Waste and Abuse (FWA) Education

Pharmacy fulfills the regulatory requirement to provide General Compliance and FWA education within ninety days of hire and on an annual basis using the CMS General Compliance and FWA education courses located on the CMS Medicare Learning Network (MLN) or by adding the CMS General Compliance and FWA education course content on the CMS Medicare Learning Network (MLN) unmodified into existing company compliance education materials. Pharmacy maintains a record of the education provided to all employees for a period of ten years and will provide such records to Innovatix Network upon request. If education other than the General Compliance and FWA education courses located on the CMS Medicare Learning Network (MLN) is used, Pharmacy will provide a copy of the education materials to Innovatix Network upon request.

3. Conflicts of Interest

Pharmacy represents and warrants that its Covered Individuals are free of conflicts of interest. Pharmacy requires its Covered Individuals to sign a conflict of interest statement, attestation, or certification at the time of hire and annually thereafter certifying that such Covered Individual is free from any conflict of interest in administering or delivering Part D benefits. Pharmacy will immediately notify Innovatix Network, Payors and Plans, in writing, in the event it becomes aware of any conflict of interest.

4. Reporting Mechanism for FWA and Compliance Issues

Pharmacy complies with the requirement to maintain a confidential FWA and Compliance reporting mechanism that has been distributed and widely publicized for all employees and contractors within our organization to encourage reporting potential FWA and Compliance issues without fear of retaliation.

5. Compliance Program

Pharmacy has its own compliance program to help it satisfy and monitor its obligations hereunder, any requirements of Payors and Plans, and CMS. Such compliance program requires Pharmacy and Covered Individuals to act in an ethical and compliant manner.

6. Downstream Entities

If Pharmacy subcontracts with other entities (external vendors to our organization and downstream entities to Innovatix Network) to perform any of the services contractually delegated to my organization to perform for Innovatix Network that relate to the activities described in this Pharmacy Participation Agreement, Pharmacy has distributed materials to these downstream entities to ensure they also comply with all of the requirements attested to herein.

7. Record Retention and Availability

Pharmacy understands and agrees to maintain supporting documentation for a period of ten years and will furnish evidence of the above to Innovatix Network, Payors, Plans, CMS and/or an agent of CMS upon request.

8. Reporting

Pharmacy agrees to promptly notify Innovatix Network in writing of any of the certifications made by my organization herein becomes inaccurate.

IN WITNESS WHEREOF, the undersigned has hereunto set his/her hand this ____ day of _____, 20____.

Print Name of Pharmacy

Print Name of Signatory

Pharmacy NCPDP #

Full Address of Pharmacy

Signature of Officer

Pharmacist-In-Charge Name

BUSINESS ASSOCIATE AGREEMENT

This Business Associate Agreement (“**Agreement**”), entered into on _____ (the “**Execution Date**”), by and among **Innovatix, LLC**, on its own behalf and on behalf of its affiliates and subsidiaries to the extent any such entity provides the Services (as defined below) (“**Innovatix**”) and _____, on behalf of itself and any of its affiliates and/or subsidiaries to the extent any such entity receives the Services under the Arrangements (as defined below) (“**Pharmacy**”).

RECITALS

WHEREAS, Pharmacy and Innovatix are obligated to meet the requirements of the Health Insurance Portability and Accountability Act of 1996 and its implementing regulations (the “**Act**”), as amended by the Health Information Technology for Economic and Clinical Health Act and its implementing regulations (the “**HITECH Act**” and together with the Act “**HIPAA**”), due to their status as a “Covered Entity” or a “Business Associate”, respectively, under HIPAA.

WHEREAS, Innovatix has entered into one or more written or oral agreements, and may in the future enter into additional agreement(s), with Pharmacy (collectively, the “**Arrangements**”) pursuant to which Innovatix assists Pharmacy with healthcare services, requiring Innovatix to create, receive, maintain, transmit, use, or disclose Protected Health Information (“**PHI**”) from, or on behalf of, Pharmacy (the “**Services**”).

WHEREAS, Pharmacy, as a Covered Entity under HIPAA, is required to obtain satisfactory assurances that Innovatix, when acting as a Business Associate, will appropriately safeguard all PHI that Innovatix creates, receives, maintains, transmits, uses, or discloses from, or on behalf of, Pharmacy.

WHEREAS, the parties hereto desire to enter into this Agreement to memorialize their obligations with respect to PHI pursuant to the requirements of HIPAA.

NOW THEREFORE, in consideration of the mutual promises and agreements below and in order to comply with all legal requirements for the protection of this information, the parties hereto agree as follows:

I. DEFINITIONS.

1.1. **Definitions.** Capitalized terms used herein without definition shall have the respective meanings assigned to such terms under HIPAA or in the most recently executed Arrangement between the parties.

II. OBLIGATIONS OF INNOVATIX

2.1. **Use and Disclosure of Protected Health Information.** Innovatix may create, receive, maintain, transmit, use, and disclose PHI as permitted under the Arrangement(s), including disclosing PHI among Innovatix entities in order to provide Services, as otherwise permitted herein, or as Required By Law, but shall not otherwise create, receive, maintain, transmit, use, or disclose any PHI. The parties contemplate that Innovatix may disclose PHI to agents or subcontractors, subject to the restrictions, exceptions and other terms and conditions as

set forth herein. To the extent Innovatix carries out any of Pharmacy's obligations under HIPAA, Innovatix will comply with the requirements of HIPAA that apply to Pharmacy in the performance of such obligations. Innovatix shall not, and shall ensure that its directors, officers, employees, contractors and agents do not, use or disclose PHI received from, or created or received on behalf of, Pharmacy in any manner that would constitute a violation of HIPAA if used by Pharmacy, except that notwithstanding anything to the contrary herein, Innovatix may:

(i) use PHI for Innovatix's proper management and administration, including but not limited to data analysis necessary to review, improve, or validate a product or service offered in connection with the Services and to facilitate performance improvement efforts, or for Innovatix's legal responsibilities;

(ii) disclose PHI to a third party for Innovatix's proper management and administration, including but not limited to data analysis necessary to review, improve, or validate a product or service offered in connection with the Services, and to facilitate performance improvement efforts; (b) public health activities or health oversight activities consistent with 45 C.F.R. 164.512; or (c) to satisfy Innovatix's legal responsibilities, provided that the disclosure is Required by Law or Innovatix obtains reasonable assurances from the third party that the third party will (a) protect the confidentiality of the PHI, (b) only use or further disclose the PHI as Required by Law or for the purpose Innovatix disclosed the PHI to the third party, and (c) notify Innovatix of any instances of which the third party is aware that the use or disclosure of the PHI is inappropriate or not required to meet the purpose for which Innovatix disclosed the PHI to the third party;

(iii) consistent with the terms hereof, provide Data Aggregation Services;

(iv) create Limited Data Sets in accordance with HIPAA at the direction of Pharmacy; and

(v) de-identify the PHI in accordance with a methodology set forth in HIPAA (the "**De-identified Information**").

2.2. Safeguards Against Misuse of Information. Innovatix shall use reasonable and appropriate safeguards to prevent the use or disclosure of PHI, except as otherwise permitted or required herein or under the Arrangement(s). In addition, Innovatix shall comply with Subpart C of 45 C.F.R. Part 164 with respect to Electronic PHI (as defined in HIPAA).

2.3. Reporting of Disclosures of Protected Health Information. Innovatix shall report to Pharmacy, including via phone or electronic mail and in accordance with HIPAA, any use or disclosure of PHI not permitted by this Agreement, any Security Incident involving Electronic PHI or any Breach of Unsecured PHI of which it becomes aware; provided, however, that the parties acknowledge and agree that this Section 2.3 constitutes notice by Innovatix to Pharmacy of the ongoing existence and occurrence of Unsuccessful Security Incidents for which no additional notice to Pharmacy shall be required. "Unsuccessful Security Incidents" means, without limitation, pings and other broadcast attacks on Innovatix's firewall, port scans, unsuccessful log-on attempts, denial of service attacks, and any combination of the above, so long as no such incident results in unauthorized access, use, disclosure, modification or destruction of PHI or intentional interference with system operations in an information system that contains PHI.

2.4. Subcontractors. Innovatix agrees to enter into a written agreement meeting the requirements of 45 C.F.R. §§ 164.504(e) and 164.314(a)(2) with each Subcontractor that creates, receives, maintains, transmits, uses, or discloses PHI on behalf of Innovatix, and that any such

agreement will obligate the Subcontractor to comply with restrictions and conditions that are at least as restrictive as the restrictions and conditions that apply to Innovatix under this Agreement.

2.5. Access to and/or Amendment of PHI. Innovatix will generally not be required to provide an Individual access to, and/or amendment of, PHI disclosed to Innovatix because such PHI is not part of a Designated Record Set. In the unlikely event that Innovatix receives a request from an Individual to access or amend PHI, such request shall be forwarded to Pharmacy within five (5) business days. If Innovatix is found to maintain a Designated Record Set, Innovatix shall, to the extent required by HIPAA, (i) make the PHI from such Designated Record Set available to Pharmacy who may as it determines in its own discretion under HIPAA provide such PHI to the requesting Individual, or (ii) incorporate any amendments made by Pharmacy to the PHI, if any, contained in Innovatix's copy of such Designated Record Set, whichever is appropriate. Any denials of access or amendment to the PHI request shall be the responsibility of Pharmacy. Notwithstanding the foregoing, the parties acknowledge and agree that none of the products or services provided by Innovatix to Pharmacy constitute a Designated Record Set as defined by HIPAA.

2.6. Accounting of Disclosures and Tracking Time Periods. Except for information regarding the Health Care Operations of Pharmacy and/or as otherwise excepted by HIPAA, Innovatix will make available to Pharmacy an accounting of disclosures of PHI for the six (6) years prior to the date on which Pharmacy requested the accounting. Additionally, if an Individual requests an accounting of disclosures of his or her PHI, Innovatix will cooperate with Pharmacy to provide the Individual with the accounting; provided, however, that Pharmacy shall be primarily responsible for processing all such Individual requests.

III. OBLIGATIONS OF PHARMACY

3.1. Obligations of Pharmacy. Pharmacy agrees to use appropriate safeguards to maintain and ensure the confidentiality, privacy and security of PHI transmitted to Innovatix pursuant to this Agreement, in accordance with the standards and requirements of HIPAA.

3.2. Notice of Privacy Practices. Upon request, Pharmacy shall provide Innovatix with a copy of its Notice of Privacy Practices produced by Pharmacy in accordance with 45 C.F.R. §164.520 and notify Innovatix of any changes to such notice. In addition, Pharmacy shall notify Innovatix of any limitation(s) in the notice of privacy practices of Pharmacy to the extent that such limitation may affect Innovatix's use or disclosure of PHI.

3.3. Consents/Authorizations. Pharmacy represents and warrants that it has obtained any consents necessary to provide PHI to Innovatix which are required under applicable law. Pharmacy shall provide Innovatix with any changes in, or revocation of, authorizations by Individuals relating to the use and/or disclosure of PHI, if such changes affect Innovatix's permitted or required uses and/or disclosures.

3.4. Validation Activities. Innovatix may, from time to time, ask for Pharmacy's assistance in validating currently requested data for selected patient records. These data validation techniques may include a review and abstraction of data from patient charts by qualified staff. Pharmacy agrees to reasonably comply with Innovatix's requests for such assistance. Innovatix shall reimburse Pharmacy for reasonable filing and copying expenses associated with such review.

IV. MUTUAL OBLIGATIONS

4.1. **Availability of Books and Records.** Each party hereby agrees to make its internal practices, books and records relating to the use and disclosure of PHI received from, or created or received by the other party available to the Secretary for purposes of determining the receiving party's compliance with this Agreement and with HIPAA.

4.2. **Minimum Necessary Standards.** Pharmacy shall only provide or disclose to Innovatix the Minimum Necessary amount of PHI necessary to achieve the purpose for which the PHI is provided. Pharmacy shall only use or disclose the Minimum Necessary amount of PHI necessary to achieve the purpose for which the PHI is sought.

V. TERM AND TERMINATION

5.1. **Term.** This Agreement is effective as of the effective date of the first Arrangement (the "Effective Date") and shall remain effective until terminated as provided herein. Any uses or disclosures of PHI prior to the Execution Date but since the Effective Date, if conducted in compliance with Section 2.1, were and are authorized by Pharmacy.

5.2. **Termination Upon Breach of Provisions Applicable to Protected Health Information.** Any other provision of the Arrangement(s) notwithstanding, this Agreement may be terminated by either party upon thirty (30) days written notice to the other party in the event that such other party breaches any material provision contained in this Agreement and such law is not cured within such thirty (30) day period.

5.3. **Effect of Termination.** Upon termination of this Agreement, Innovatix shall either return or destroy all PHI received from, or created or received on behalf of, Pharmacy which Innovatix still maintains in any form. Innovatix shall not retain any copies of such PHI; provided, however, that Innovatix may maintain PHI which is necessary for Innovatix to continue its proper management and administration or to carry out its legal responsibilities. Notwithstanding the foregoing, the parties acknowledge that it is not feasible to return or destroy PHI maintained in Innovatix's aggregated databases and applications. Accordingly, the terms and provisions of this Agreement shall survive termination and such PHI shall be used or disclosed solely for such purpose or purposes which prevented the return or destruction of such PHI. Upon termination, any Arrangement pursuant to which Innovatix provided to Pharmacy a Service that requires the receipt, use or disclosure of PHI will terminate on the same day that the termination of this Agreement is effective. In the event that this Agreement is terminated and Pharmacy has only subscribed to Services that would require the receipt, use or disclosure of PHI, the Arrangement shall also terminate in its entirety on the same day that the termination of this Agreement is effective.

VI. NOTICES

6.1. **Notices.** All notices required to be given to either party under this Agreement will be in writing and sent to each party as indicated below, by at least ten (10) days' prior written notice to the other party. Modifications of notice as set forth herein shall require a mutually agreed written amendment to this Agreement. Notices will be effective upon receipt; email notice shall be treated the same as physical written notice.

PHARMACY:

Name: _____

Email Address: _____

Attn: _____

INNOVATIX:

Innovatix, LLC

Email: Legal_Review@premierinc.com

Attn: Legal Department

VII. MISCELLANEOUS

7.1. Entire Agreement; Conflicts. This Agreement supplements, modifies and amends any and all Arrangement(s), whether oral or written, between the parties involving Innovatix's creation, receipt, maintenance, transmission, use, or disclosure of PHI by, or on behalf of, Pharmacy. The terms and provisions of this Agreement shall supersede any other conflicting or inconsistent terms and provisions in any Arrangement, including all exhibits or other attachments thereto and all documents incorporated therein by reference. All non-conflicting terms and conditions of the Arrangements and any other agreement between the parties remain in full force and effect.

7.2. HIPAA Amendments. Any future amendments to HIPAA affecting the required provisions of business associate agreements are hereby incorporated by reference into this Agreement as if set forth in this Agreement in their entirety, effective on the later of the Execution Date or such subsequent date as may be specified by HIPAA. No other amendment to this Agreement shall be valid unless agreed to in writing by the parties.

7.3. Applicability. This Agreement shall be applicable solely with respect to PHI that Innovatix creates, receives, maintains, transmits, uses, or discloses, as a Business Associate, from, or on behalf of, Pharmacy.

7.4. No Third-Party Beneficiaries; Binding on Successors. Nothing express or implied in this Agreement is intended to confer, nor shall anything herein confer, upon any person other than Pharmacy, Innovatix and their respective successors or assigns, any rights, remedies, obligations or liabilities whatsoever. Notwithstanding anything herein to the contrary, this Agreement shall be binding upon and inures to the benefit of the parties hereto and their respective successors and assigns.

7.5. Survival. The rights and obligations of Innovatix under Section 2.3 and 5.3 of this Agreement shall survive the termination of this Agreement.

7.6. Construction. This Agreement shall be construed as broadly as necessary to implement and comply with HIPAA. Any ambiguity in this Agreement shall be resolved in favor of a meaning that complies with HIPAA.

7.7. Signatory Authority. Pharmacy represents and warrants that it is the legal representative of Pharmacy with respect to the power to enter into this Agreement and has the right to enter into this Agreement on their behalf. Innovatix represents and warrants that it is the legal

representative of its subsidiaries with respect to the power to enter into this Agreement and has the right to enter into this Agreement on their behalf. The Business Associate of record will be the Innovatix entity actually providing the applicable Services and, therefore, no other Innovatix entity will be liable for any breach by such Business Associate of record of any obligation arising under HIPAA or this Agreement in performance of such Services.

7.8. **Governing Law.** This Agreement shall be governed by and interpreted in accordance with the laws of the State of New York. Jurisdiction and venue for any dispute relating to this Agreement shall rest exclusively with the state and federal courts of New York.

INTENDING TO BE LEGALLY BOUND, the parties hereto have caused this Agreement to be executed by their duly authorized representatives effective as of the Effective Date.

**INNOVATIX, LLC, on its own behalf
and on behalf of its affiliates and
subsidiaries**

**PHARMACY
CITY, STATE**

Signature

Signature

Name

Name

Title

Title

Date

Date